

Old Tax Regime vs New Tax Regime (FY 2024-25)

The Old Tax Regime allows taxpayers to claim various deductions and exemptions such as Section 80C, Section 80D, HRA, and home loan interest, but applies higher slab rates.

Old Regime Slab Rates:

- Up to Rs 2,50,000: Nil
- Rs 2,50,001 to Rs 5,00,000: 5%
- Rs 5,00,001 to Rs 10,00,000: 20%
- Above Rs 10,00,000: 30%

Standard deduction of Rs 50,000 is available. Rebate under Section 87A available if taxable income is up to Rs 5,00,000 (rebate up to Rs 12,500).

The New Tax Regime (default regime since FY 2023-24, under Section 115BAC) offers lower slab rates but disallows most deductions and exemptions like 80C, 80D, and HRA.

New Regime Slab Rates:

- Up to Rs 3,00,000: Nil
- Rs 3,00,001 to Rs 6,00,000: 5%
- Rs 6,00,001 to Rs 9,00,000: 10%
- Rs 9,00,001 to Rs 12,00,000: 15%
- Rs 12,00,001 to Rs 15,00,000: 20%
- Above Rs 15,00,000: 30%

Standard deduction of Rs 50,000 is also available under the New Regime. Rebate under Section 87A available if taxable income is up to Rs 7,00,000 (rebate up to Rs 25,000), effectively making income up to Rs 7 lakh tax-free.

A 4% Health and Education Cess is added on top of the calculated tax in both regimes.

General guidance: taxpayers with large deductions (high 80C investments, home loan interest, HRA claims) often benefit more from the Old Regime, while taxpayers with fewer deductions typically benefit more from the New Regime. Each individual should compare both regimes using their actual numbers before deciding.